

—provides years of tax-advantaged growth. Don't put money in any other retirement account until you have reached the limit of what your employer is willing to match.

- 2. Open an IRA (Roth or fully deductible).** After you've reached the match level on your 401(k), the Roth IRA offers completely tax-free growth forever. The deductible IRA offers an up-front tax break and then years of tax-deferred growth. IRAs also allow you to withdraw your money penalty-free to buy a home or pay for educational expenses.
- 3. Open a partially deductible or nondeductible IRA.** If you have contributed the maximum to your 401(k) that your employer will match and you're not eligible for a deductible or Roth IRA, this is your next best choice. The reason: Starting in 2010, a loophole in the tax code allows you to convert your nondeductible IRA into a Roth. (For details, see chapter 6.)
- 4. Contribute to a 401(k) without employer matching.** If you've already contributed the maximum to options 1 through 3 above, try to max out your 401(k)—even if it's a stretch on your budget.
- 5. Save beyond a 401(k) or IRA.** Once you've exhausted your tax-favored savings options—IRAs and 401(k)s—you'll have to save in bank accounts, money funds, and other types of mutual funds in the regular old taxable way. But if you invest well, you'll be thankful down the road that you did. To get the most from your money, open your account at a no-load, low-expense mutual fund company. (See chapter 5 for details.)

Q: What's the timing for getting an IRA?